

IMAG/NARY

Imaginary Venture Capital Partners II, L.P.

Q3 2025

A Note from Team Imaginary

Our lives and our work at Imaginary are extremely digital. Professionally, we communicate via email and meet via Zoom. We stay constantly connected to each other, our portfolio companies, and our LPs via phone and computer. We work with our portfolio companies on digital marketing, influencer strategy, and public relations in digital media. We help them find and build community on TikTok. Almost all of our brands make their first sale on the internet. Some make their first tens or even hundreds of millions of dollars on the internet. One thing we can confidently say about our best performing brands is that they are unusually digitally savvy. They both understand and resonate with the culture online in ways that most other brands do not.

The internet, and specifically the emergence of eCommerce as a major channel, has been an immensely significant part of the work we do at Imaginary. It enables a speed to scale across the consumer brands in our portfolio that was previously unattainable via traditional distribution in wholesale and owned retail alone. Not just because of the physical limitations of store expansion, for example, but also because of the speed with which a brand can access and engage such a broad base of customers online today. And the internet has dramatically compressed the startup capital requirements for emerging consumer brands in a way that fundamentally incentivizes founders to take entrepreneurial risks, ostensibly leading to more innovation and growth in the category.

Put simply, the internet has enabled more great entrepreneurs to create more great brands that uniquely connect with and serve more (and different) customers. It has been an incredible boon to the consumer experience (and to consumer venture capital).

But as the consumer zeitgeist has become much more digital, and as such a significant portion of retail sales have moved online (above 18% in 2024), so too has emerged a modern craving for more time spent in the physical world. Beyond just the impacts of eCommerce, the constant digital overhang (smart phones, social media, AI) is also in many ways motivating the American consumer to spend more time engaging with real people in real physical settings. We feel it's a heartening trend.

And we are noticing its relevance to our business with particular significance in recent months.

Across the public markets, iconic consumer businesses are elevating their focus on physical channels. Nike has recently begun overhauling major stores with "immersive sport experiences" to bring customers closer to the storytelling and communities within each of the sports Nike serves. Starbucks is in the middle of a major renovation program, "uplifting" stores to make them more "warm, welcoming, and connected to their communities."

Capri is working on a renovation of over 50% of its fleet as part of "redefining our luxury retail experience with a warm residential design." Similarly, Tapestry group, in an effort to win Gen Z customers, is refocusing on their own directly operated stores as well as launching new immersive and experiential retail concepts. Aritzia, one of the better performers in consumer retail recently, has leaned heavily into its inimitable retail experience, not only expanding door count but significantly expanding average square footage per store. In fact, Chairman and Founder Brian Hills spends substantially all of his time on physical, leaving his counterpart Jennifer Wong to manage digital distribution.

Ulta has talked extensively about amplifying the human connection that occurs in their stores, tracking to host over 70,000 in-store events this year. LVMH pointed to Sephora physical stores overperforming and serving as a "destination" for shoppers, rather than just a consumption channel.

Even Shopify, no longer just an eCommerce platform, spent a substantial amount of time in their most recent earnings call touting new enterprise customer wins (e.g., UGG, Comme des Garçons) that they characterized as "retail-first brands led by in-person experience." They specifically called out offline as a long-term growth driver.

A Note from Team Imaginary (cont.)

There is a very clear throughline within consumer retail over the last few months, which points to success engaging the customer in the physical world as an important indicator of relative performance. And we have seen the same theme bear out across our portfolio. We feel younger (and venture eligible) brands are at an extreme advantage here. The capex to reset a fleet of hundreds (or, in some cases, more) stores is almost always too costly for legacy brands to justify or afford. Said differently, young brands at the beginning of their retail growth journey can build spaces that are more modern, desirable, efficient and profitable than their legacy counterparts.

SKIMS is seeing tremendous productivity across its retail footprint (the NYC Flagship will be a roughly \$40M / 30% EBITDA store this year) and just completed a \$225M fundraise to fuel the expansion of owned retail across the United States and Europe. Physical channels are expected to contribute 33% of revenue next year. The Row similarly has built immensely productive stores and is working on expanding the footprint in select international markets. Retail, which is the brand's largest and fastest-growing channel, came in 20% over plan YTD as of September. Mejuri opened 15 standalone stores so far this year, and for the first time retail now accounts for more than 50% of company-wide sales.

Outside of owned retail, our brands are also leaning into experiences to drive community. BERO collaborated with Shopify to complete a highly successful guerilla-style event outside of Wimbledon over the summer, leading to over 750M media impressions and a substantial sales lift in both the US and UK. Point of View launched their POV Labs Masterclass series featuring in person events with other category-leading beauty companies such as Rare Beauty and Patrick Ta.

And our 4-Wall businesses are also feeling the tailwinds of people expressing a desire to gather. Bathhouse opened its first outdoor amenity space in Williamsburg this summer, leading to its most profitable summer months ever. The trend of consumers looking for innovative new wellness-oriented spaces to socialize and spend time has become hard to ignore. Santo Taco opened its second location in NYC, building on its highly successful first location, which this fall hosted a BERO Block Party, an Imaginary portfolio crossover collaboration.

And our next incubation concept, which we will introduce here later, is in many ways the culmination of this thesis. After spending years observing people creating indulgent high-protein dairy-based meals and desserts at home (and witnessing this trend begin to spill into CPG) we realized that the white space was actually in brick-and-mortar. The channel that has remained virtually untouched in this space is, ironically, the physical channel. We are very optimistic about the potential of this new incubation concept, and we are excited to tell you more about it later on.

The digital channel over the last several months has been a bit more challenging. Consumers are inundated with choice, frustrated with rising prices, and met with an intense degree of promotionality online as brands fight for both attention and wallet. The online marketplace has become quite competitive, and we don't see this stabilizing in the short term. This of course is cyclical, not secular. But at least for the time being, the highest-performing brands are not only finding ways to stand out online, but are also engaging their consumers in the real world. And until some of the pressure is released from online retailing, the businesses that we are most bullish on will continue to come up with creative ways to meet, engage with, and sell to their customers in the physical world.

Of course, physical retail comprises the substantial majority of American retail sales. So this is a channel we have always encouraged our portfolio to invest in, even during COVID when that advice was ironically quite contrarian. But we feel it's not coincidental that today great brands are experiencing disproportionate success in their physical channels at a moment in time in which the consumer has been maximally overloaded with digital offerings, both social and commercial. To us this is a welcome trend, and a good one for the customer.

More updates on the portfolio are included below. As always, we are available anytime to discuss. We wish you and your loved ones a wonderful holiday season, and we wish our portfolio a happy Q4 of trading!

Priority Company Updates

The companies below are likely to drive meaningful DPI in the fund.

Company	Overview		Initial Investment Date	% Ownership
	10BEAUTY is a technology company whose mission is to bring the beauty services industry into the home.		February 2021	13%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	ARR Scale Pre-Revenue	YoY % ARR Growth N/A
Board Seat Kelly Dill	Q3 2025 Updates 10BEAUTY delivered an important milestone this quarter, completing a successful Nordstrom in-store pilot in August with strong satisfaction across users. The brand and marketing toolkit were refreshed by Dave Rocco (Spotify, Universal Music Group), who helped cement the mission: to engineer and design intelligent products that make self-care effortless, empowering and seamlessly integrated into one’s life. Inbound interest has topped 1K+ businesses a month, including Hilton and Four Seasons, and an \$8M bridge round extends runway to a planned Q1’26 Series B. With all Q4 launch plans now solidified, 10Beauty continues to target ~\$100M ARR within 18 months of launch.			
Other Investors  				
Company	Overview		Initial Investment Date	% Ownership
	BUILDER is a codeless, drag-and-drop editor & headless content management system for websites.		July 2021	3%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	ARR Scale \$10M - \$49M	YoY % ARR Growth +73% (Q3)
Board Seat N/A	Q3 2025 Updates BUILDER delivered an impressive Q3, with ARR up 73% year over year and momentum building behind Fusion, its new visual AI code editor that enables workflows without developer support. Fusion is acting as a growth accelerator as the company moves up-market: new-logo pipeline is up 3x year over year with ~20% of the Fortune 500 in pipeline, rising annual contract values, and strong expansion economics showing 118% net dollar retention with 78% of ARR coming from enterprise clients. Builder also expanded reach via its October listing on Google Cloud Marketplace. With Fusion-led demand and a growing enterprise funnel, Builder remains on track to more than 2x ARR year over year in FY2025.			
Other Investors ICONIQ 				
Company	Overview		Initial Investment Date	% Ownership
	MILÀ is an Asian-inspired food brand preserving traditional recipes with a contemporary twist.		January 2022	13%
	Cash Runway 4+ quarters	Profitability Profile Approaching Breakeven	Revenue Scale \$50M - \$99M	YoY % Revenue Growth -46% (Q3)
Board Seat Logan Langberg	Q3 2025 Updates MILÀ continued its reset in Q3, which is delivering meaningful profitability results despite revenue -46% year over year and below a budget set prior to the strategic pivot. As noted in Q2, the team deprioritized DTC and shifted focus to retail. The team reduced burn from ~\$1M/mo. to near breakeven and remains on track for Q4 profitability. This was driven by cost discipline and stronger-than-expected retail performance at +65% year over year, especially in Costco. Milà is focused on strengthening product-market fit after consumer research highlighted the need to improve value and convenience while maintaining its authenticity. Milà now has a clearer path to durable and more strategically-attractive growth heading into 2026.			
Other Investors 				

Priority Company Updates (cont.)

Company	Overview	Initial Investment Date	% Ownership
 Pepper	PEPPER is a digital infrastructure that powers the historically fragmented foodservice supply chain.	November 2020	10%
	Cash Runway 4+ quarters	Profitability Profile Not Profitable	ARR Scale \$10M - \$49M
Board Observer Logan Langberg	Q3 2025 Updates PEPPER recorded an impressive Q3, with ARR up 133% year over year and on budget. Retention remained healthy with ~99% logo retention and strong net dollar retention, while payments continued to scale with higher attach rates and accelerating volume. Operational efficiency also improved, with the burn multiple trending below 2.0x and runway extending meaningfully on the back of stronger collections and disciplined hiring. With continued momentum across products and GTM, Pepper expects to exceed its FY2025 plan and is in active conversations for a fundraise to further fuel growth and extend runway. The raise will likely close in Q4 2025.		
Other Investors ICONIQ			
 Index Ventures			

Company	Overview	Initial Investment Date	% Ownership
 SKIMS	SKIMS is a groundbreaking shapewear and loungewear brand co-founded Kim Kardashian.	March 2020	3%
	Cash Runway 4+ quarters	Profitability Profile Profitable	Revenue Scale \$1B+
Board Seat Nick Brown	Q3 2025 Updates SKIMS Q3 revenue was largely flat year over year and below budget, primarily due to the delayed NikeSKIMS launch, softer U.S. eCommerce demand, and the shift of the Semi-Annual Sale from Q3 to Q2. Offsetting these factors, SKIMS stores continue to outperform across all formats and geos. NikeSKIMS launched late in Q3 (9/26), surpassing \$10M in first-day sales on skims.com and marking Nike’s highest-performing launch. The team has revised its FY2025 plan and revenue will come in -4% below budget. EBITDA will face pressure from tariffs, international growth, and NikeSKIMS delays but is expected to recover as margin initiatives take effect.		
Other Investors			
 ALLIANCE CONSUMER GROWTH			
 THRIVE CAPITAL			
 WELLINGTON MANAGEMENT®			

Company	Overview	Initial Investment Date	% Ownership
 SUNDAYS	SUNDAYS is a modern dog food brand with an air-dried, human-grade product.	June 2021	13%
	Cash Runway 4+ quarters	Profitability Profile Approaching Breakeven	Revenue Scale \$100M - \$499M
Board Seat Logan Langberg	Q3 2025 Updates SUNDAYS delivered a strong Q3, with revenue up 49% YoY, coming in on budget for the quarter, and has surpassed \$100M in ARR. The team grew across eCommerce and data, helping accelerate improvements in marketing efficiencies. Retention plays launched in Q3, such as lower-COGS sampling, and the team is already strengthening margin and payback. Operational upgrades from faster delivery speeds to recipe cost reductions continue to improve product quality and profitability. With tighter execution across marketing, product, and finance, Sundays is advancing retail readiness across Amazon, Chewy, and early brick-and-mortar as it positions for channel expansion in 2026.		
Other Investors Avenir			
 BOX GROUP			
 RED SEA VENTURES			

Priority Company Updates (cont.)

Company	Overview	Initial Investment Date	% Ownership
WESTMAN ATELIER	WESTMAN ATELIER is luxury, clean beauty founded by world-renowned makeup artist Gucci Westman.	December 2020	7%
	Cash Runway 4+ quarters	Profitability Profile Profitable	Revenue Scale \$50M - \$99M
Board Seat Nick Brown	Q3 2025 Updates		
Other Investors PRELUDE GROWTH PARTNERS	WESTMAN ATELIER posted a solid Q3, with revenue up 19% year over year and on plan. Growth was led by Contour Sticks, while Q2 launches (Sun Tone Bronzing Drops and Split Pan) under-performed and drove most of the variance to target. The brand continued to outpace the U.S. prestige makeup market, though comps softened as Nordstrom faced heavy headwinds such as pulling back on price-matching, a disrupted promo calendar, and staffing gaps. Looking ahead, priorities center on margin expansion and productivity at existing doors, alongside international expansion – supporting a path to 20%+ EBITDA margin and an attractive exit in the next 12-18 months.		

Additional Portfolio Company Profiles

Company	Overview	Initial Investment Date	% Ownership
	DUOS is a technology business that helps older adults age gracefully while maintaining independence much later into their lives. The DUOS product provides a tech-enabled personal assistant to help seniors manage daily tasks.	December 2021	7%
		Board Seat Kelly Dill	Other Investors FORERUNNER
Company	Overview	Initial Investment Date	% Ownership
	EON is a technology company enabling Digital IDs for retail brands, allowing products to become interactive, intelligent, and profitable assets. EON's software enables brands to create and manage digital identities throughout products' lifecycles.	January 2022	15%
		Board Seat Natalie Massenet	Other Investors  Commerce Ventures
Company	Overview	Initial Investment Date	% Ownership
	GRIN is a SaaS business providing a CRM and end-to-end suite of tools for eCommerce brands managing influencer marketing campaigns and workflows. Grin offers a fully end-to-end solution for influencer campaign management.	May 2021	3%
		Board Seat N/A	Other Investors  LONE PINE CAPITAL 
Company	Overview	Initial Investment Date	% Ownership
	SAFELY, founded by Kris Jenner and Emma Grede, is a modern home cleaning company, offering a line of elevated and aspirational soaps and detergents with clean ingredients and sophisticated and highly gratifying scent profiles.	November 2020	15%
		Board Seat Nick Brown	Other Investors  ALLIANCE CONSUMER GROWTH
Company	Overview	Initial Investment Date	% Ownership
	SHIFTSMART is a labor network powering the modern workforce at enterprise companies. Shiftsmart connects customers such as Apple, AirBnB, and Subway, among others, to a network of over 400,000 shift workers in 50+ countries.	November 2021	2%
		Board Seat N/A	Other Investors
Company	Overview	Initial Investment Date	% Ownership
	STRIPE is a fintech and payments business that provides the economic infrastructure for the internet. Its software and APIs allow millions of companies of all sizes to accept payments and send payouts.	March 2021	<1%
		Board Seat N/A	Other Investors  Lightspeed  SIXTH STREET

Follow-On Investments & Valuation Updates

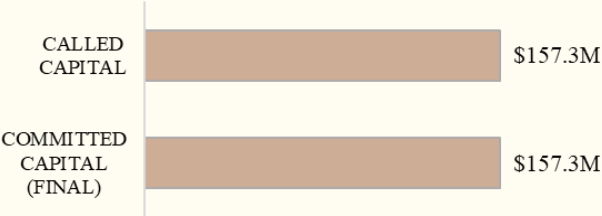
Ami Colé, Inc. – The Company announced in Q3 that it would begin the process of winding down. With no proceeds expected to be received by shareholders the Fund has written down its investment to \$0 and will formally realize the losses when dissolution has been confirmed.

Stripe – The Company announced plans to buyback shares at a \$106.7B valuation, which exceeds the \$95B valuation of the Company at the time the Fund invested. As a result, the Fund has marked its position back up to cost.

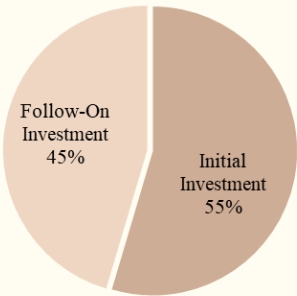
Duos, Inc. – As publicly announced, the Company was acquired by FTV Capital. As part of the acquisition the Fund sold its position in full. While the Company was not historically considered a priority company, the sale of the investment ultimately resulted in a 30% IRR and 2.4x MOM.

Portfolio Update

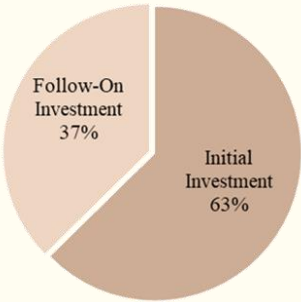
Called vs. Committed Capital



Capital Invested in Initial Rounds vs. Follow-On

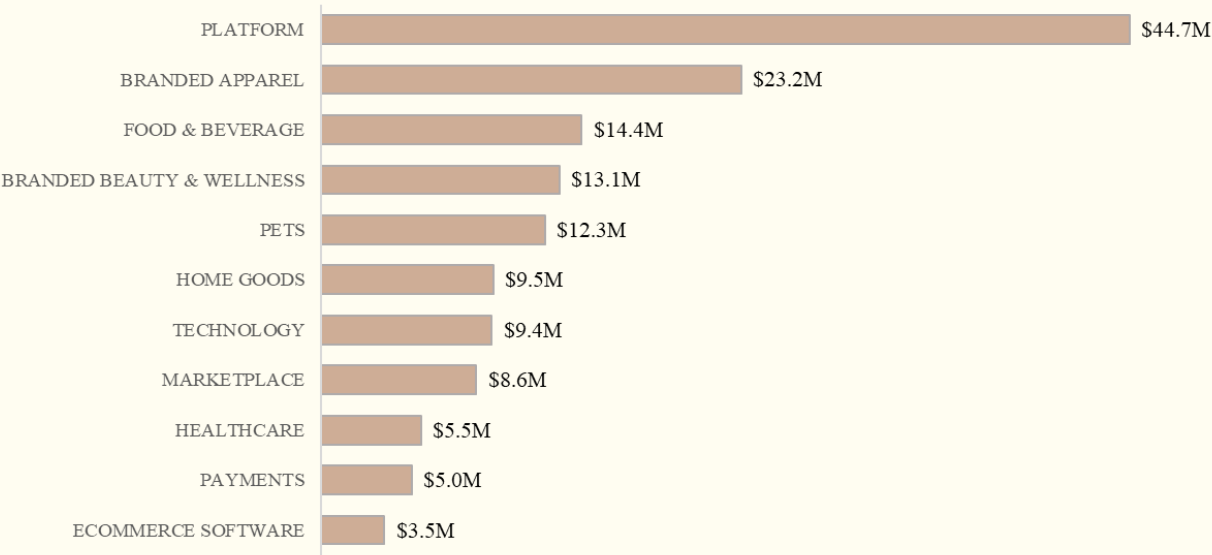


Includes Skims & Foxtrot as Follow-On



Based on investment timing as would be naturally reported

Invested Capital by Sector



Portfolio Update (cont.)

Portfolio Summary

Imaginary II Portfolio Update 9/30/2025



Total Called Capital \$157,250,000
Total Invested Capital \$149,199,779
Fair Market Value \$296,881,637

Total Realized Gain \$17,917,131
Total Unrealized Gain \$129,764,725
Gross Multiple 2.0x

Portfolio Company	Date of First Investment	FD%	Cost	Fund Invested	FMV	Realized Gain / (Loss)	Unrealized Gain / (Loss)	Multiple
Imaginary II Core Investments								
Bread	2/19/2020	17%	\$ 1,849,918	1%	\$ -	\$ -	\$ (1,849,918)	—
Goodfair	6/12/2020	16%	\$ 2,549,999	2%	\$ -	\$ (2,549,999)	\$ -	—
Ami Cole	7/31/2020	22%	\$ 1,850,000	1%	\$ -	\$ -	\$ (1,850,000)	—
Nuggs (Simulate)	8/7/2020	4%	\$ 3,306,060	2%	\$ -	\$ -	\$ (3,306,060)	—
Safely	9/3/2020	15%	\$ 9,491,257	6%	\$ 9,491,257	\$ -	\$ -	1.0x
Pepper (Pomegranate Tech)	11/13/2020	10%	\$ 9,949,996	7%	\$ 13,646,161	\$ -	\$ 3,696,165	1.4x
Westman Atelier	12/8/2020	7%	\$ 9,449,981	6%	\$ 26,044,353	\$ -	\$ 16,594,372	2.8x
Lightspeed (fka NuORDER)	1/13/2021	5%	\$ 10,027,462	7%	\$ 16,934,902	\$ 6,907,440	\$ -	1.7x
10Beauty	2/26/2021	13%	\$ 9,399,996	6%	\$ 13,466,158	\$ -	\$ 4,066,162	1.4x
Brady Brand	4/28/2021	17%	\$ 9,500,001	6%	\$ -	\$ (9,500,001)	\$ -	—
Sundays	6/25/2021	13%	\$ 12,349,997	8%	\$ 28,131,160	\$ -	\$ 15,781,163	2.3x
Builder	7/29/2021	3%	\$ 3,462,500	2%	\$ 3,462,500	\$ -	\$ -	1.0x
Duos	12/15/2021	7%	\$ 5,499,999	4%	\$ 13,060,195	\$ 7,560,196	\$ -	2.4x
EON	1/24/2022	15%	\$ 6,499,927	4%	\$ 4,874,948	\$ -	\$ (1,624,979)	0.8x
Milá	1/27/2022	13%	\$ 11,075,032	7%	\$ 20,994,329	\$ -	\$ 9,919,297	1.9x
Total Core Investments			\$ 106,262,123	71%	\$ 150,105,964	\$ 2,417,636	\$ 41,426,202	
Imaginary II Strategic Investments								
Skims	3/16/2020		\$ 13,708,264	9%	\$ 125,402,447	\$ 21,522,884	\$ 90,171,299	9.1x
Stripe	3/19/2021		\$ 5,000,016	3%	\$ 5,000,016	\$ -	\$ -	1.0x
Grin	5/5/2021		\$ 11,700,045	8%	\$ 9,741,237	\$ -	\$ (1,958,809)	0.8x
Shiftsmart	11/12/2021		\$ 6,505,940	4%	\$ 6,631,973	\$ -	\$ 126,033	1.0x
Foxtrot	11/19/2021		\$ 6,023,390	4%	\$ -	\$ (6,023,390)	\$ -	—
Total Strategic Investments			\$ 42,937,655	29%	\$ 146,775,673	\$ 15,499,494	\$ 88,338,523	
TOTAL			\$ 149,199,779	100%	\$ 296,881,637	\$ 17,917,131	\$ 129,764,725	2.0x

FMV as reported above includes realized gains & losses, as well as interest and dividends, if applicable, and as a result may differ from the U.S. GAAP financial statements